

STANDARD OPERATING PROCEDURE OF EARLY STAGE FUNDING SUPPORT – POST SEED FUND

1. Criteria for Early Stage Funding Support- Post Seed Fund of INR 15 lakhs:

Startup must be certified under Bihar Startup Policy 2017/ 2022. If the startup has already launched its product in the market and are having potential to grow then Such Start-up's (in case of need) may apply for Early Stage Funding Support- Post Seed Fund of Rs. 15 Lakhs per Startups through our portal (startup.bihar.gov.in) or through mail (id- startup-bih@gov.in) .

2. Eligibility for Early Stage Funding Support- Post Seed Fund:

Sl.No.	Eligibility Criteria	Particulars
1.	Time Line	At least 3 months have passed from the date of receiving of whole INR 10 Lakhs of seed fund under Bihar Startup Policy.
2.	Turnover	Startup must have earned the turnover of Rs. 25 Lakhs in case of Products related entity or Rs. 20 Lakhs in case of Service-related entity. For this entity has to submit the Audited Balance Sheet/ GST (output) Return/ CA Certified Turnover Certificate (for newly formed business entity only, created in the current Financial year and has not taken GST registration).
3.	Employment	Startup has given the employment (permanent or as on consultant basis) to 5-10 employees working continuously for atleast 3 months. (Bank Statement/ Salary Slip highlighting the payment to employees must be submitted)
4.	Team	Either of the founder or employee hold the education or technical knowledge of know how/ know about of the business idea/ Testing report or Certificate by any incubation centre in case of tech-based startups.
5.	Feasibility	Startup must have shown the growth of at least 20% since previous Financial Year will be preferable (for old companies, not registered in current Financial Year) or must have earned the turnover of Rs. 25 Lakhs in case of Products related entity or Rs. 20 Lakhs in case of Service-related entity (for newly formed business entity only, created in the current Financial year) For this copy of GST Returns of current Financial Year need to be submitted or CA Certified Turnover Certificate (for newly formed business

		entity only, created in the current financial year and has not taken GST registration).
6.	Business plan and Utilization Certificate	Startups has to submit the Project Report of their future plan and the CA certified Utilization Certificate for Rs. 10 Lakhs as Seed Fund taken under Bihar Startup Policy.

3. Term of repayment of Early Stage Funding Support- Post Seed Fund:

Repayment of Loan to be done by startup in Equated Monthly Instalment (EMI) for 5 years after a moratorium of 2 years. 5% (Simple Interest) interest will be charged on above loan.

4. Documents required for Disbursement of Early-Stage Funding Support – Post Seed Fund to Startup:

- i. Audited Balance Sheet of Previous Financial Year and GST return of current Financial Year or CA Certified Turnover Certificate.
- ii. Bank Statement/ Salary Slip highlighting the payment to employees.
- iii. Proof relating to education or technical knowledge of know how/ know about of the business idea/ Testing report or Certificate by any incubation centre in case of tech-based startups.
- iv. Project Report with milestone and time frame.
- v. Undertaking format given in annexure-I

5. Disbursement of Early Stage Funding Support – Post Seed Fund:

Early stage funding support- post seed fund shall be disbursed to startup after approval from PSC and post facto approval will be taken in SMIC.

Undertaking
(On Startup Letterhead)

We have read the eligibility & conditions for Post seed fund support.

We hereby declare that all the information provided by us is true and correct. We have not hidden any information that could impact the decision to approve the assistance in Post seed fund under the scheme.

We hereby declare that our start-up has not been blacklisted / debarred by any agency/state government/central government authority for any issues related with the directors/company.

We understand that in case the assistance for post seed fund support is approved under this scheme, it is based on the information furnished by us and in case there is any significant deviation in core offering and other changes in the venture, We will keep the Department of Industries informed.

Name and Signatures of all the Team members

Signature of Founder:

Name:

Date:

(ON THE LETTER HEAD OF CA FIRM)

TO WHOM IT MAY CONCERN

Certified _____ that _____ out _____ of
Rs.(In words)
..... being given as Seed Fund from Bihar
Startup Fund Trust (BSFT) under Bihar Startup Policy, 2017 / 2022
to.....(Name of Entity), (PAN) on
(Date) a sum of Rs..... (In words)
..... has been
utilized for the understated purpose for which it was sanctioned.

Sl.No.	Purpose	Amount (In Rs.)
Total (In Words)		

Further Certified that I,
(Chartered Accountant) have satisfied myself that the conditions on which the Seed
Fund was sanctioned have been dully fulfilled / are being fulfilled and that I have
exercised the following checks to see the fund was actually utilized for the purpose
for which it was sanctioned. We certify on behalf of
the
.....(Name of the Entity), that the details above are correct. If any discrepancy is
found by the department/ applicable authorities at a larger stage then, we and the
entity can be penalised as per legal norms.

Kinds of checks exercised

1. Cash Book/Bank Statement

2. Ledger
3. Vouchers, etc
4. Bills
5. Any Other

For :

(Name of Chartered Accountant Firm)

Firm Registration Number:

Signature (Seal/Stamp):

Partner Name:

Membership Number:

Date:

Place:

UDIN: